

Perhaps the most widespread bit of accounting hocus-pocus was the “pro forma” earnings fad. There’s an old saying on Wall Street that every bad idea starts out as a good idea, and pro forma earnings presentation is no different. The original point was to provide a truer picture of the long-term growth of earnings by adjusting for short-term deviations from the trend or for supposedly “nonrecurring” events. A pro forma press release might, for instance, show what a company would have earned over the past year if another firm it just acquired had been part of the family for the entire 12 months.

But, as the Naughty 1990s advanced, companies just couldn’t leave well enough alone. Just look at these examples of pro forma flim-flam:

- For the quarter ended September 30, 1999, InfoSpace, Inc. presented its pro forma earnings as if it had not paid \$159.9 million in preferred-stock dividends.
- For the quarter ended October 31, 2001, BEA Systems, Inc. presented its pro forma earnings as if it had not paid \$193 million in payroll taxes on stock options exercised by its employees.
- For the quarter ended March 31, 2001, JDS Uniphase Corp. presented its pro forma earnings as if it had not paid \$4 million in payroll taxes, had not lost \$7 million investing in lousy stocks, and had not incurred *\$2.5 billion* in charges related to mergers and goodwill.

In short, pro forma earnings enable companies to show how well they might have done if they hadn’t done as badly as they did.² As an intelligent investor, the only thing you should do with pro forma earnings is ignore them.

Hungry for Recognition

In 2000, Qwest Communications International Inc., the telecommunications giant, looked strong. Its shares dropped less than 5% even as the stock market lost more than 9% that year.

But Qwest’s financial reports held an odd little revelation. In late 1999, Qwest decided to recognize the revenues from its telephone directories as